

A decorative graphic on the left side of the slide consisting of white lines and circles on a blue background, resembling a circuit board or a stylized tree structure.

CH – 01

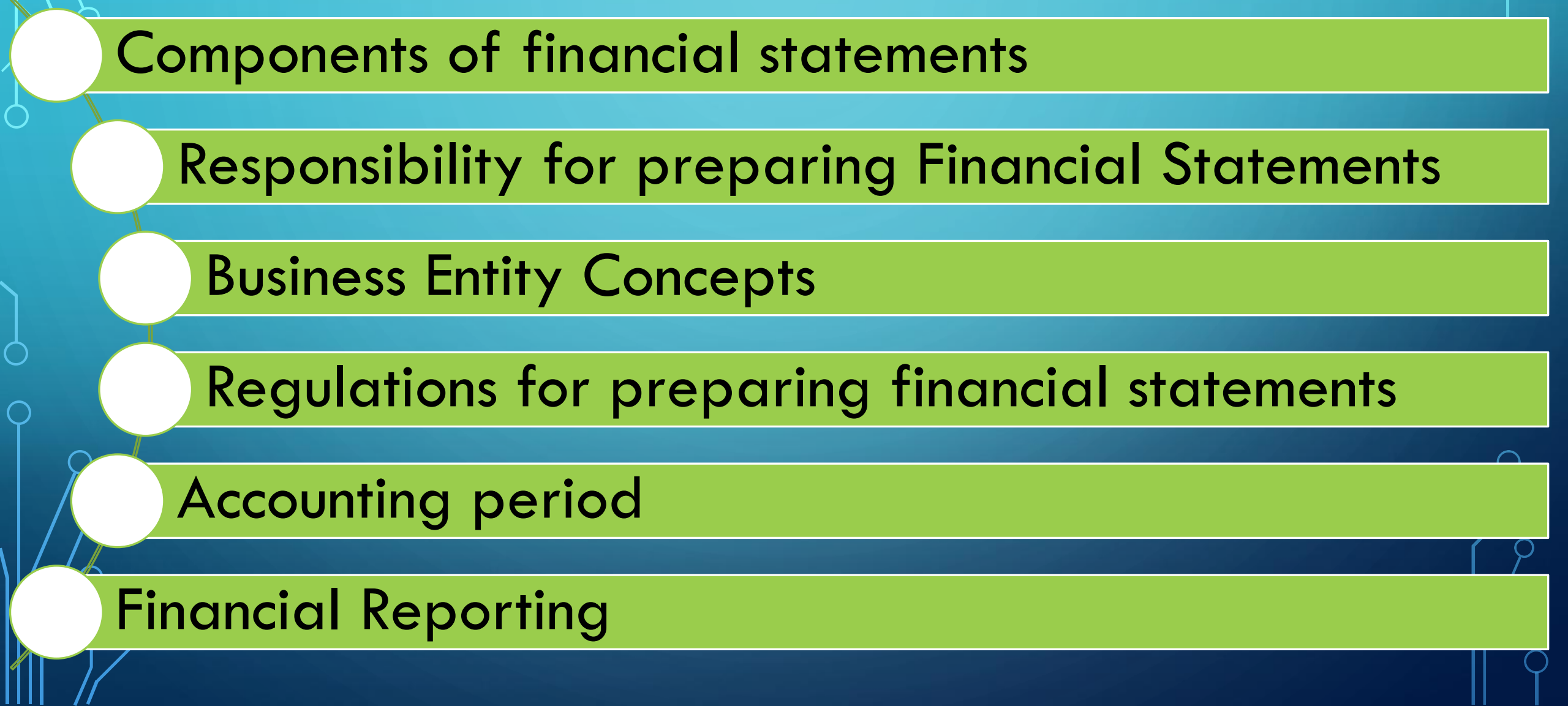
ACCOUNTING BASICS



(3)

INTRODUCTION TO FINANCIAL STATEMENTS

INTRODUCTION TO FINANCIAL STATEMENTS



Components of financial statements

Responsibility for preparing Financial Statements

Business Entity Concepts

Regulations for preparing financial statements

Accounting period

Financial Reporting



(1)

COMPONENTS OF FINANCIAL STATEMENTS

COMPONENTS OF FINANCIAL STATEMENTS

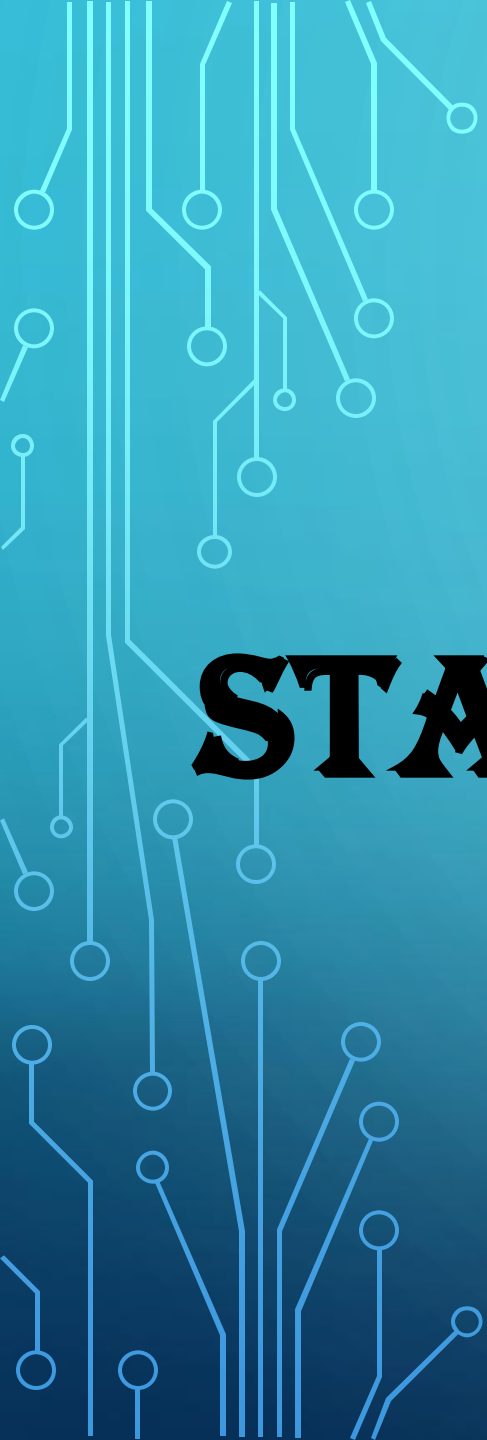
Statement of financial position (SOFP)

Statement of comprehensive income (SOCI)

Statement of cash flows (SOCF) [FAR – 1]

Statement of changes in equity (SOCE) [FAR – 1]

Notes to the accounts [FAR – 1 & 2]



(1)

STATEMENT OF FINANCIAL POSITION (SOFPP)

STATEMENT OF FINANCIAL POSITION

Statement of financial position is a list of assets, liabilities and equity; and

measures the financial position of the business.

Financial position of a business is measured through its:

Assets

Liabilities

Equity

ASSETS

A present economic resource;
(Any valuable item, tangible or intangible)

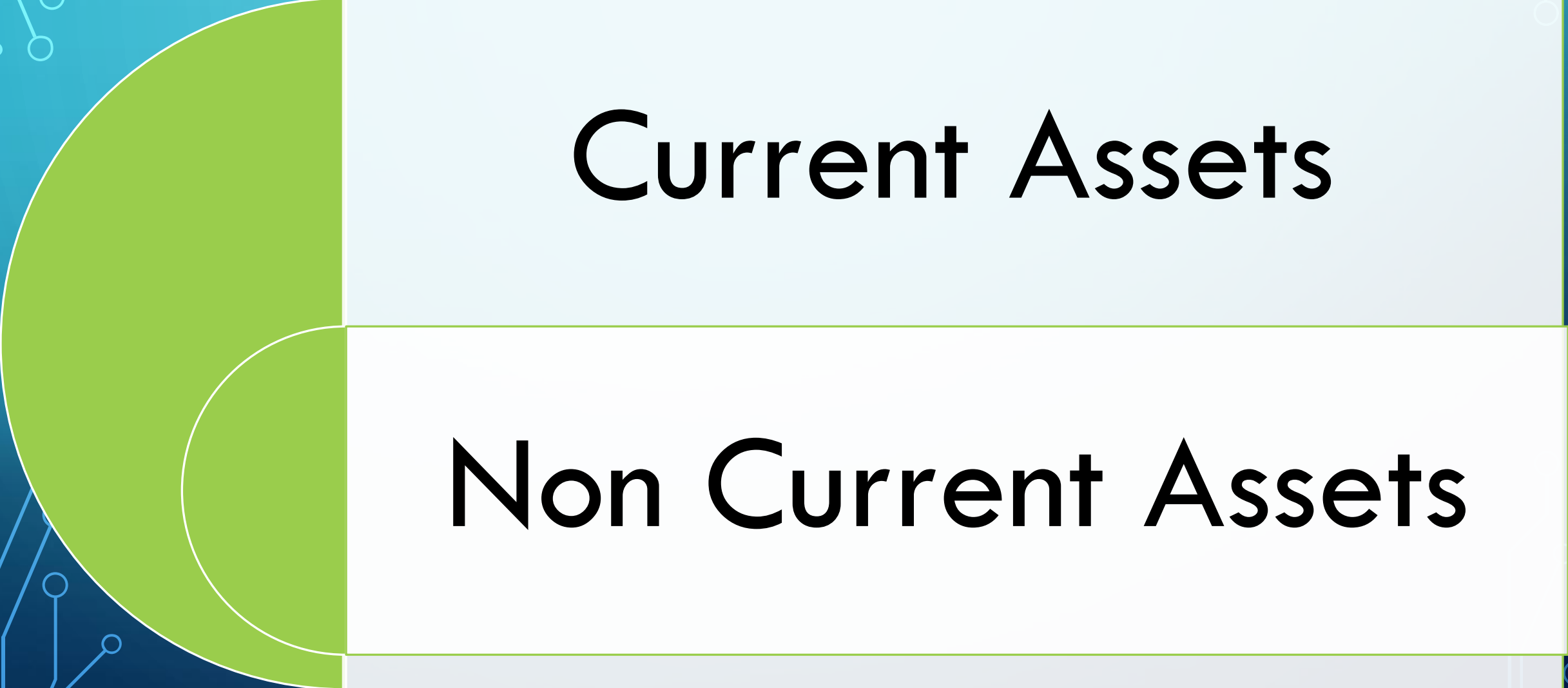


controlled by the entity;



as a result of past event.

TYPES OF ASSETS



Current Assets

Non Current Assets

CURRENT ASSETS

That provide benefits in
short term ; and

having life of upto one
year.

EXAMPLES OF CURRENT ASSETS

**Inventory
(Stock)**

**Trade
receivables**

**Short term
investments**

**Bank
Balance**

**Cash
balance**

NON CURRENT ASSETS

That provide benefits
over long term ; and

having life of more than
one year.

EXAMPLES OF NON CURRENT ASSETS

Land &
Building

Motor
Vehicles

Furniture

Office
Equipment

Long term
investments

LIABILITIES

A present obligation of the business;



to transfer the economic resource;



as a result of past event.

TYPES OF LIABILITIES



Current Liabilities

Non Current Liabilities

CURRENT LIABILITIES

Amount payable by
the business within 12
months from year
end.

EXAMPLES OF CURRENT LIABILITIES

Payable for
goods

Tax
payable

Expenses
payable

Short term
loans

NON CURRENT LIABILITIES

Amount payable by
the business after 12
months from year
end.

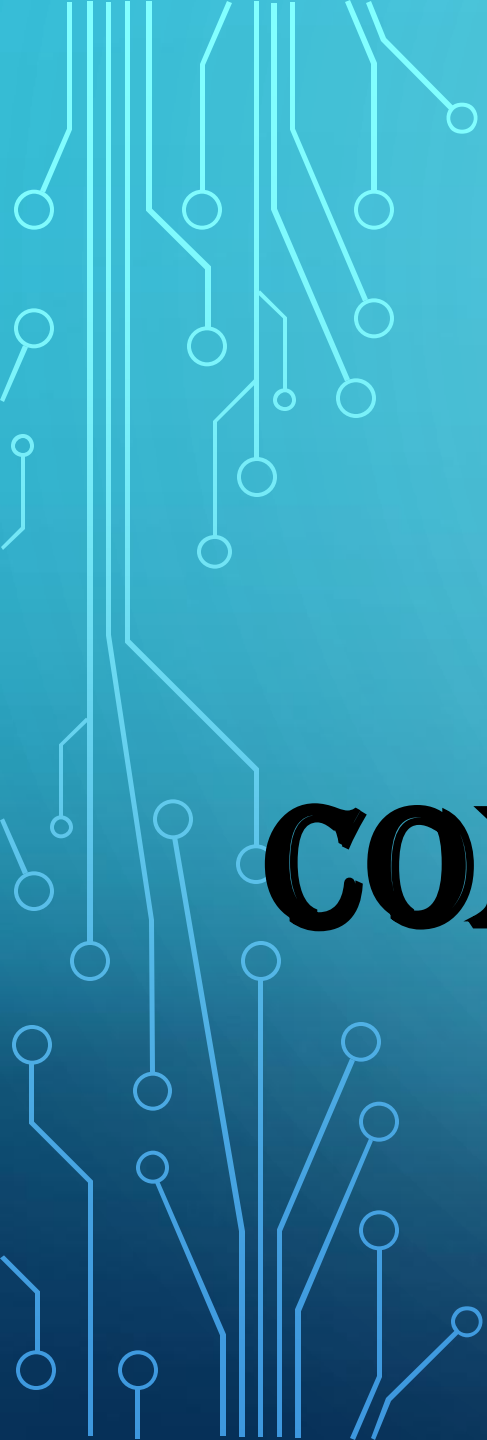
EXAMPLE OF NON CURRENT LIABILITIES

**Medium & Long Term
Loans**

EQUITY

Residual interest in the assets
of the business after
deducting all liabilities;

$$\text{Equity} = \text{Assets} - \text{Liabilities}$$



(2)

**STATEMENT OF
COMPREHENSIVE INCOME
(SOCI)**

STATEMENT OF COMPREHENSIVE INCOME

SOCI measures the
financial performance
of the business.

STATEMENT OF COMPREHENSIVE INCOME

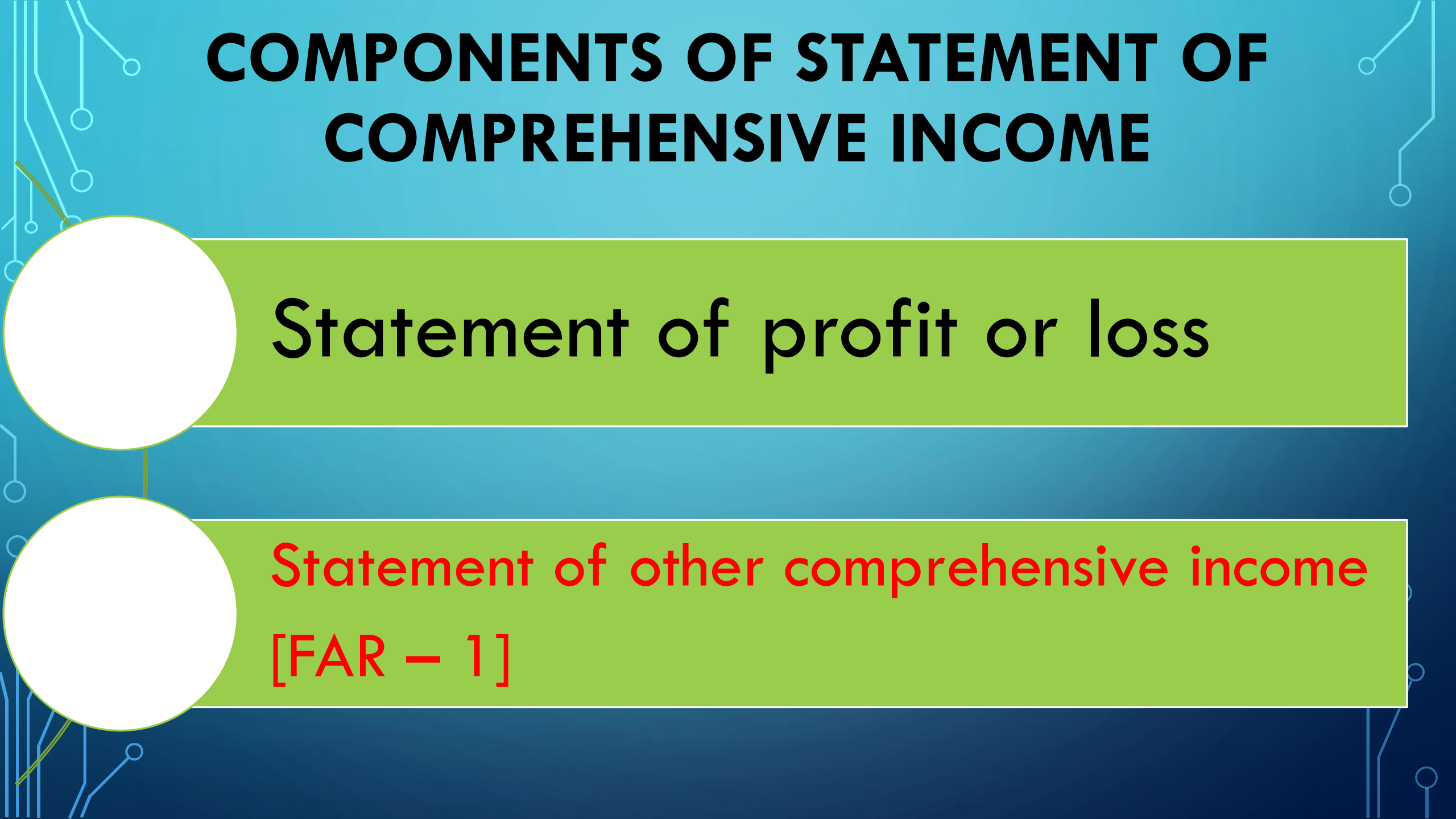
Financial performance of the business is measured through its:

Income;

&

Expenses

COMPONENTS OF STATEMENT OF COMPREHENSIVE INCOME



The diagram features a light blue background with a dark blue gradient at the bottom. On the left, there are two white circles connected by a thin yellow line. The top circle is connected to a green rectangular box containing the text 'Statement of profit or loss'. The bottom circle is connected to another green rectangular box containing the text 'Statement of other comprehensive income' and '[FAR – 1]'. The text in the bottom box is red. The overall design includes faint circuit-like patterns in the corners.

Statement of profit or loss

Statement of other comprehensive income
[FAR – 1]

STATEMENT OF PROFIT OR LOSS

Statement of profit or loss is a list of income and expenses; and

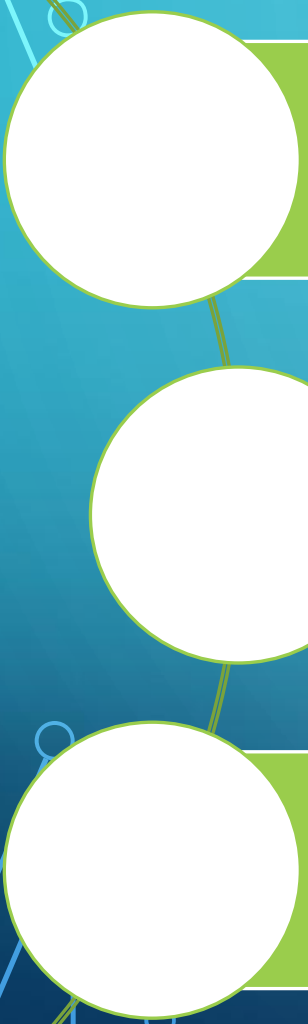
measures the profit or loss of the business.

INCOME

Increase in assets or decrease in liability, resulting in increase in equity

other than investment by owners.

EXAMPLES OF INCOME



Revenue from the sale of goods or services;

Other items of income i.e., interest, dividend or rent etc.

Gain from sale of non current assets etc.

EXPENSES

Decrease in assets or increase in liability, resulting in decrease in equity

other than distributions to owners.

EXAMPLES OF EXPENSES



Payments arising in running a business;



Losses from sale of non current assets; &



Losses from disasters & accidents.

